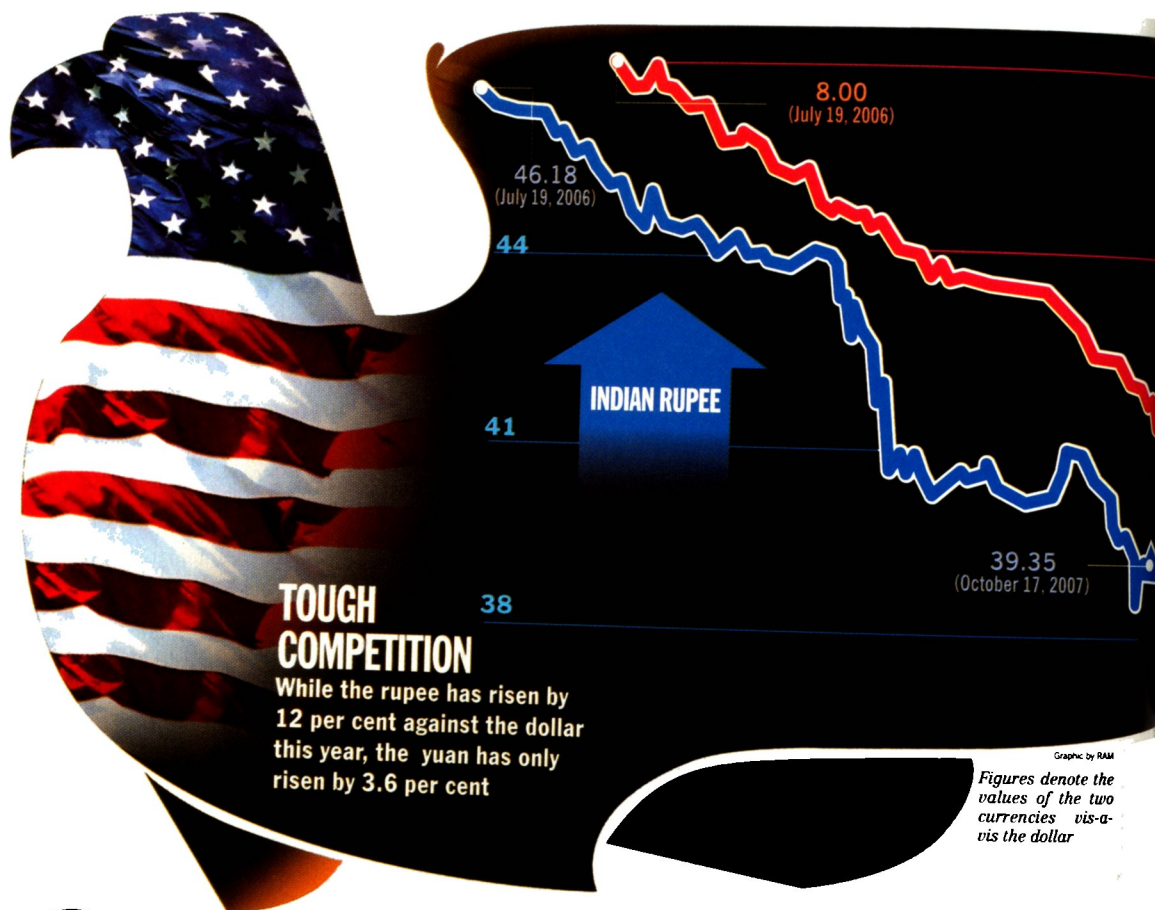




SLAIN BY THE RUPEE

A strong currency may be good news on the Dalal Street and for those importing goods, but exporters are in for hard times

■ By Malini Bhupta

The Tirupur-based textile firm Royal Classic group is in the throes of a big change. Ever since the rupee began its rapid climb against the dollar in March this year, the company has stopped taking fresh orders from the United

States. Thanks to the 12 per cent rise of the Indian currency against the dollar this year, management has begun to wonder if exporting is worth the stress.

The company, which earns 60 per cent of its revenues from exports, has struck the middle path. It is now defocussing on exports and is looking at the domestic market. Royal Classic is lucky

in that it has a brand and a domestic division to fall back on. Hundreds of garment exporters in Tirupur however aren't so fortunate. Indeed, those supplying to cost-competitive outlets like Wal Mart have been forced to retrench hundreds of workers or worse, shut shop in the face of an uncompetitive currency environment.

Welcome to a global India, where good news can be bad news too. The influx of dollars may be good news for industry, the stock market and Sensex trackers as \$11 billion dollars (Rs 43,549 crore) has flowed into the country till June. But the inflow has made the rupee uncompetitive for export-oriented industries like IT, auto, textiles, leather and handicrafts, and they are in a state of shock as a strong rupee has drastically lowered realisations from dollar exports. Consider this to understand the pains of rupee appreciation—when an exporter sold a pair of shoes for say \$100 in January